Theory case · Topic 3 · 2 points · 15 min

C24 — Radome Composites: revenues vs collections and current vs non-current items

The owner of Radome Composites S.L., which makes radar domes for aircraft noses, says: "In December we delivered 20 domes to an airline that will pay in February, so they are not sales of this year. We received in November a 30,000 m.u. advance for domes to be delivered next March, so that is income of this year. The electricity of December will be paid in January, so it is a cost of next year. And the five-year bank loan is all a long-term debt, even the instalment due next June."

Part (a) · 1.5 points

Correct the owner's four statements using the accrual principle and the classification of the balance sheet

Owner's statement	Correction	Basis
December deliveries are not sales of this year	**They are revenue of this year**: the sale was made in December. The amount owed is an **account receivable**, a current asset	Revenues are recorded when the sale is made, paid or not [Slide 8]; current assets [Slide 14]
The November advance is income of this year	**It is not revenue yet**: no domes have been delivered. It is a **liability** (unearned revenue) until March	Liabilities include unearned revenues [Slide 13]
December electricity is a cost of next year	**It is an expense of this year**: the service was received in December. The unpaid amount is a **current liability**	Expenses are recorded when the services are received [Slide 8]
The whole loan is long-term	**The instalment due next June is a current liability**; only the instalments due after one year are long-term	Current liabilities are paid within the coming year [Slide 16]

KEY POINTS

- December deliveries: revenue of this year; the amount owed is an account receivable (current asset).
- November advance: not revenue yet; a liability (unearned revenue) until delivery in March.
- December electricity: expense of this year; unpaid amount is a current liability.
- Loan: the instalment due next June is a current liability; the rest is long-term.

Part (b) · 0.5 points

Explain why the income statement and the balance sheet need these rules

The **income statement** reports the **performance** of the business over a specific period [Slide 7]: it must contain the revenues earned and the expenses incurred in that period, whatever happens to the cash, otherwise the profit of a year would depend on when customers happen to pay. The **balance sheet** reports the **financial position at a particular point in time** [Slide 12]: splitting assets and liabilities into current and non-current shows whether the company can meet the debts due within the year with the resources that become cash within the year.

KEY POINTS

- The income statement reports performance over a period: it must match the revenues and expenses of that period, not cash movements.
- The balance sheet reports the financial position at a point in time: classifying by maturity shows liquidity.